on-road price of the last of the Nanos sold in Delhi was quoted at Rs 2.26 lakh–Rs 3.20 lakh. In comparison, Maruti's Alto 800 cost between Rs 2.94 lakh–Rs 3.72 lakh. The Nano suddenly became not-so-cheap and was seen as a car with problems.

The 2010 upgraded version with additional new features did not yield much result. Tata Motors continued to brand the Nano as a cheap car. To promote sales, the messaging once again focused on low monthly payments.

After two years, the company tried again. This time, they brought out a slightly more advanced model. However, it faced stiff competition from the already popular Chevrolet Beat and Maruti Alto 800. There was no uptick in sales. Ratan once again wrote to Kant about the 'drift' in passenger car sales. He told the vice chairman that 'not all of it (fall in Nano sales) can or should be attributed to the thermal incidents that have been there in the past'. He added that the team should immediately give this issue of low sales high priority and remedy it.

By the time Ratan retired in 2012, the Nano showed signs of getting a new lease of life. Newer variants were introduced, and an online merchandise store for it had been opened on eBay. A sixty-three-year-old motoring enthusiast, Thomas Chacko, successfully completed a national expedition in a Nano in July 2012, giving it some favourable publicity. The Nano's sales peaked in 2011–12 at 74,521 units, but since then it steadily declined again.

In May 2015, Tata Motors yet again repackaged the Nano with an all-new design called the GenX Nano, priced at Rs 2.2–2.9 lakh. According to Ronnie Schrieber, 'the new GenX Nano' was 'positioned as an entry level hatchback to more directly compete with the Alto 800, Hyundai Eon [and the] Renault Kwid'. It rode on the hope that a safer, all-new design with the latest technological advancements such as automated manual transmission (AMT) would help boost its sales and change its image from a 'cheap car' to a much-needed 'affordable' people's car.

Simultaneously, Tata Motors 're-calibrated the engine to deliver higher fuel efficiency', with several of their 'engineers sent to major cities to map the driving cycle'. During the launch of the GenX Nano, Wagh admitted that it was a 'make or break' effort for Tata's sub-brand. 'Earlier Nano was seen as a different car, not competing with entry hatches; with GenX Nano,